

Northstar Athletics Brand Strategy 2026

Mid-year refresh - Gen Z growth

Prepared by the Northstar Brand and Insights team

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Fictional data created for the MarketSignal demo.

1. Executive summary

Northstar Athletics enters the second half of 2026 in a healthy but unfinished position. Net revenue is on track to grow from \$571.0 million in FY25 to a latest estimate of \$612.0 million in FY26, gross margin is tracking at 47.2%, and the Gen Z customer base is expanding faster than the business as a whole. The question this refresh answers is how to turn that momentum into a durable, defensible position with young athletes before better funded competitors close the door.

Three conclusions frame the document. First, Gen Z is already a large and fast growing part of the business, and the board wants it to become a much larger one. Gen Z shoppers generated 21% of Northstar net revenue in FY25, up from 17% two years earlier. The board has set a target of lifting the Gen Z share of revenue to 30% by the end of FY28. Second, the main obstacle is not demand for athletic product but trust in the basics: customers tell us they cannot predict how a Northstar size will fit, they are unsure whether the price is justified by durability, and they are losing patience with brands that cannot explain what their products are made of. Third, our brand is simply less known than it should be. Aided brand awareness of Northstar among Gen Z consumers stands at 46%, well behind the 71% recorded for Vantage Athletic.

Our recommendation is a deliberate choice about who Northstar is. Northstar intends to position itself as the dependable fit brand for active Gen Z consumers rather than competing on elite performance claims. We will not out engineer the premium incumbent or out discount the value players. We will win the customer who is tired of ordering two sizes and returning one, who wants a pair of trainers that survive a semester, and who wants a brand that talks to her the way her run club does. The growth bets in section 7 follow directly from that choice, and the KPIs in section 9 will tell us by the end of the year whether it is working.

A note on method. Figures in this document come from finance reporting, the May 2026 customer survey of 600 respondents, our brand tracker, competitor public materials and a commissioned willingness to pay study fielded in March. Where definitions differ between teams, particularly the definition of Gen Z, we say so explicitly rather than quietly choosing the more flattering number.

2. Where Northstar stands today

2.1 Financial position

FY25 net revenue closed at \$571.0 million. The FY26 latest estimate of \$612.0 million represents growth of roughly 7%, supported by a strong first quarter of \$137.0 million, up from \$128.0 million a year earlier. FY26 numbers remain estimates because the year is not closed, and we expect the

second half to be shaped by the holiday quarter, where the forecast calls for \$168.0 million in Q4. Gross margin of 47.2% is healthy for the category, with leggings and tops carrying the highest category margins and accessories the lowest.

Gen Z revenue under the finance definition (customers aged 18 to 27) grew from \$110.8 million in FY25 to a projected \$126.1 million in FY26, an increase of 13.8%, roughly double the growth rate of the company overall. On that strict basis the Gen Z share of net revenue sits a little under 20% in FY25 and a little above 20% in FY26. The brand team's loyalty program definition stretches the age band to 16 through 29, which is why the share quoted in brand materials is higher. Both views are legitimate for their purpose, and the two teams will publish a reconciliation bridge so that the board target is always measured on a single, stated basis.

2.2 Awareness and brand health

Awareness is the clearest gap. Vantage Athletic benefits from decades of race sponsorship and a heavy retail presence, while Northstar has historically grown through word of mouth and a loyal base of regional customers. Among Gen Z, that history shows up as a large awareness deficit that no amount of performance marketing alone will close. Consideration data tells a slightly more encouraging story: shoppers who do know Northstar tend to rate us well on comfort and everyday usefulness, and the brand is rarely mentioned negatively. The problem is reach and relevance, not reputation damage.

Customer sentiment is more mixed than the headline revenue numbers suggest. Gen Z respondents gave Northstar a net promoter score of 22 in the May survey, against 49 among customers aged 28 and older and 31 overall. Young customers like the product enough to buy it and are not yet enthusiastic enough to recommend it. Closing that gap is as important to the Gen Z target as winning new customers.

3. The Gen Z opportunity and our four segments

Gen Z is not one customer. Treating a 19 year old club athlete and a 26 year old studio regular as the same shopper has produced muddy messaging and uneven assortment decisions. This year the brand team rebuilt the segmentation from survey responses and order history, and the result is a framework that merchandising, marketing and product can all use. We divide the Gen Z customer base into four segments: Campus Competitors, Studio Social, Trail Starters and Value Seekers. The table below shows each segment's share of the Gen Z customer base.

Segment | Share of Gen Z | Who they are

Campus Competitors | 24% | College and club athletes, 18 to 22

Studio Social | 31% | Class based fitness and athleisure

Trail Starters | 19% | New runners and hikers going light trail

Value Seekers | 26% | Price led, switch with Pace & Co.

3.1 Studio Social

Studio Social is the largest Gen Z segment at 31% of Gen Z customers and carries the highest average order value of \$94. These customers buy leggings, tees and lifestyle footwear for class based workouts and everyday wear, they photograph their outfits, and they take cues from instructors and fellow members. They are the best advertisement for fit done right, because they notice immediately when a size does not behave consistently from one category to the next. They are also the segment most likely to be lost to a value competitor if our pricing drifts out of line with the perceived quality.

3.2 Campus Competitors

Campus Competitors are college and club athletes aged 18 to 22 who buy for training and team sport. Their purchases are driven by team calendars, group orders and what their peers wear to practice. They care about durability and about looking coordinated, which makes them receptive to team colorways and, in principle, to small personal touches. They are also heavy users of social channels for discovery, and they respond to peers far more than to brand advertising.

3.3 Trail Starters

Trail Starters are new runners and hikers who are moving from road to light trail. Many of them bought their first serious pair of running shoes in the last two years and are still learning what they need. This segment is the most exposed to our knit upper durability problem, because they pair enthusiasm with inexperience and are quick to blame the product when something frays. It is also the segment with the most upside from clear, honest guidance on which shoe fits which surface.

3.4 Value Seekers

Value Seekers, at 26% of the Gen Z base, are price led and trade freely between Northstar and Pace & Co. They are not disloyal so much as pragmatic, and they will stay if the premium over the value brand is justified by something tangible: a fit they can trust, a product that lasts, an easy exchange. Where the premium feels arbitrary they leave. This segment is the best test of whether our value proposition is real.

4. What customers told us in May 2026

4.1 The survey

The May 2026 customer survey reached 600 respondents: 400 Gen Z customers and 200 customers aged 28 and older. The Gen Z sample splits into 150 respondents aged 18 to 21, 140 aged 22 to 24 and 110 aged 25 to 27, and the older sample into 90 aged 28 to 34, 70 aged 35 to 44 and 40 aged 45 and over. Respondents came from all five US regions and the gender mix reflects our customer file. Each respondent named their top frustration with athletic brands in general and rated Northstar on price sensitivity and likelihood to recommend. The sample is large enough to compare Gen Z with older customers but too small to cut reliably by segment and region at once, so the segment level observations below should be read as directional.

4.2 Pain points

Fit inconsistency is the single most cited pain point, named by 27% of Gen Z survey respondents as their top frustration. The next most common frustrations were price versus value at 18%, sizing across categories at 14% and the durability of knit uppers at 12%. Sustainability transparency (9%), delivery speed (8%), lack of personalization (7%) and community and social proof (5%) completed the list. Taken together, fit and sizing issues account for more than four in ten of the top frustrations named by young customers, which is a remarkably concentrated signal for a survey of this kind.

The pattern among older customers is different in an instructive way. Among respondents aged 28 and older, fit inconsistency ranks second at 19%, behind price and value. Price and value led for that group at 26%, and personalization barely registered at 4%. The comparison matters because it shows that fit is not simply a universal annoyance. Younger customers shop across more categories, buy more often online and return more, so inconsistency costs them more in time and money.

Verbatim comments reinforce the numbers. Several respondents described ordering two sizes of the same leggings or tee and sending one back, one said the same size in joggers and hoodies felt like two different brands, and trail runners reported knit uppers splitting within weeks and being told this was normal wear. Respondents asking for sustainability detail wanted plain facts, such as recycled content and factory country on the product page, rather than icons or slogans.

4.3 Advocacy and price sensitivity

Gen Z customers are less likely to recommend Northstar than older customers. Of the 400 Gen Z respondents, 160 were promoters, 168 passives and 72 detractors, producing an NPS of 22. The 200 older respondents produced 116 promoters, 66 passives and 18 detractors, an NPS of 49. The gap of 27 points is large, and it concentrates in exactly the areas the pain point data points to.

Price sensitivity, rated on a five point scale where five means very sensitive, averaged 3.9 among Gen Z and 3.2 among older customers. More than two thirds of Gen Z respondents scored themselves a four or five. This does not mean young customers will only buy cheap product. It means that every dollar of premium must be visibly earned, and that features customers say they value in the abstract will be tested hard when they come with a surcharge.

5. Competitive landscape

Three competitors define the frame in which Gen Z customers compare us. Each has a coherent proposition, and each leaves a gap that Northstar can occupy.

5.1 Vantage Athletic

Vantage Athletic is the premium performance incumbent, with FY2025 net revenue of about \$4.2 billion and footwear making up 63% of sales. Its average running shoe sells for around \$165, well above our \$115 to \$128 running range. Its brand is built on racing credentials, and it has invested in a gait scanning program called Fit Lab, now live in 120 stores. Its personalization is limited to a choice of 12 preset colorways on its flagship racer. Vantage owns aspiration and awareness. It does not own the everyday, affordable, easy to buy position that a large share of Gen Z customers want.

5.2 Kinetic Lab

Kinetic Lab is a direct to consumer start up that builds shoes to order from a phone foot scan. It grew net revenue by 64% to \$148 million in fiscal 2025, sells its custom runner at \$210 and promises delivery in 14 to 21 days. Its gross margin of 38% shows the cost of customization, and the company claims a return rate of 6%, though third party channel checks suggest the true figure is materially higher once remakes are counted. Kinetic Lab proves there is a market for personalized product. It also shows that the market is narrow, slow and expensive to serve.

5.3 Pace & Co.

Pace & Co. is the value athleisure specialist. Its core leggings sells for \$38, its range turns every two weeks, and Gen Z customers account for 44% of its active customer file. It has expanded store in store doors from 640 to 1,100. Pace deliberately avoids customization and competes on price, speed and freshness. It is the benchmark that our Value Seekers use, and the reason we cannot afford to be vague about why our product costs more.

5.4 What the landscape implies

Premium performance, startup customization and value athleisure are each crowded in their own way. The unoccupied territory is the dependable middle: a brand that fits as expected, lasts as long as it should, ships quickly, and explains itself honestly. It is a less glamorous claim than speed or personalization, but it addresses the issues customers named most often.

6. Positioning and brand pillars

The positioning choice follows from the evidence. Customers do not reject Northstar for lacking elite performance credentials, and they do not primarily ask for customization. They ask for predictability. If we can be the brand young athletes trust to get the basics right, we can earn the loyalty, advocacy and tolerance for price that follow from trust. Four pillars translate that into daily decisions.

- Dependable fit: one sizing logic across footwear, bottoms, tops and outerwear, backed by a clear exchange promise.

- Honest materials: plain disclosure of recycled content and production locations on every product page, with no vague green claims.
- Built to last: durability standards for knit uppers and high wear zones, and fast, fair handling when a product fails early.
- Community first: programs led by clubs, studios and creators rather than by broadcast advertising.

Performance and personalization remain part of the story but not its headline. We will keep building credible training and running product, and we will explore personalization in carefully measured form. Neither is allowed to distract from fixing the basics.

7. Growth bets

7.1 A fit system across categories

Our first bet addresses the most cited frustration directly. We will create a single fit standard that governs grading and measurement across all categories, publish size guidance that compares each style with the others in the range, and pair it with a free exchange commitment so that a mistake costs the customer nothing. The work spans product development, merchandising, the website and customer support, and it will take until early next year to land properly. Early work will focus on leggings, tees and hoodies, where cross category inconsistency is most obvious, and on the running line, where one style is already reported to run small.

7.2 Fixing knit upper durability

Our second bet is a fix, not a feature. The newest running shoe is returned at a higher rate than its predecessor, 16.8% against 13.1%, and the reasons cluster around fraying near the toe flex point. Engineering is testing a reinforced toe zone and a revised yarn blend for the next production run. In parallel, support guidance will change so that early fraying is treated as a product issue rather than normal wear. We will not promote the shoe heavily to Trail Starters until the revised construction is confirmed.

7.3 Community and social proof

Our third bet is to meet Gen Z where trust is built. Customers told us they discover product through run clubs, studio instructors and creator videos, and they trust peer content over advertising. We will shift a meaningful part of the marketing budget toward creator partnerships, club sponsorships and the Social Shop channel, which has become our fastest growing route to market. Success depends on authenticity, so programs will be run with a small number of long term partners rather than a large number of transactional ones.

7.4 A careful personalization test

Our fourth bet is deliberately modest. A spring pilot is testing personalized fit through in store scanning and custom colorways and monograms online. Survey and willingness to pay data suggest interest, but the same data show that interest weakens quickly as the price premium rises and that lead time is a real concern. We will hold personalization to a limited test until the pilot proves that it increases repeat purchase, and we will not build a national program on early enthusiasm.

8. Risks and open questions

- Awareness may lag investment. Creator and community programs take time to compound, and we could spend through the year before the awareness gap moves.
- Fit standardization may be harder than expected. Re-grading established styles risks upsetting loyal customers who know how their current sizes behave.
- Premium pricing may erode among Value Seekers if Pace & Co. keeps expanding its footprint and the durability issue is not resolved quickly.
- Definitions of Gen Z differ between teams, which could create confusion about progress against the board target if left unmanaged.
- Stated interest in personalization may overstate real behaviour, so any rollout decision must rest on observed purchases, not intentions.

Open questions remain on three fronts. We need a better view of what share of Gen Z returns are driven by fit versus durability. We do not yet know how much of the awareness gap is geographic, since Vantage's store footprint is much denser than ours. And we have not tested whether an exchange guarantee changes behaviour by encouraging more ordering of multiple sizes. These are the first items on the insights team's work plan for the second half.

9. KPIs and next steps

Progress will be tracked on a small set of measures reviewed monthly by the leadership team and quarterly by the board.

- Gen Z share of net revenue, reported on both definitions, against the 30% target for FY28.
- Aided awareness among Gen Z, with an interim goal of closing at least ten points of the gap to Vantage Athletic by the end of FY27.
- Gen Z NPS, currently 22, with a goal of reaching the low thirties by the end of FY27.
- Return rate by category and for the newest running shoe, with fit and durability reasons tracked separately.
- Share of Gen Z orders through Social Shop and creator led channels, along with conversion rates.

Next steps are straightforward. Product and merchandising will present a fit standard and implementation schedule by the end of the third quarter. Engineering will confirm the revised knit construction before the next production run. Marketing will bring a creator and community plan with a proposed budget shift to the leadership review in July. The insights team will report on the pilot as soon as the observation window closes and will publish the reconciled Gen Z definition for board use.